

Competitive Agents and Stakeholder Modeling: Who Are the Players?

Executive Summary

Effective strategy requires modeling not just your own organization but the **other agents** in the competitive landscape — competitors, customers, regulators, and partners. Under Active Inference, stakeholder modeling is the process of building generative models of other agents' generative models: inferring their beliefs, preferences, and likely actions. This module covers competitor analysis, customer modeling, stakeholder mapping, and the theory of mind needed for strategic interaction.

Learning Objectives

1. Explain **stakeholder modeling** as inference about other agents' generative models
 2. Apply **competitor analysis** frameworks to predict competitor behavior
 3. Build **customer models** that go beyond demographics to understand underlying inference processes
 4. Understand **theory of mind** in strategic contexts — modeling how others model you
 5. Analyze strategic interactions using **game-theoretic** reasoning under Active Inference
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Key Concepts

1. Modeling Other Agents

Strategic intelligence requires building models of:

- **Competitors:** What do they believe? What options do they see? How will they respond to our actions?
- **Customers:** What needs are they inferring? What alternatives are they considering? What uncertainty drives their decisions?

- **Regulators:** What outcomes are they optimizing for? How do they interpret industry behavior?
- **Partners/Suppliers:** What are their incentives? How reliable are they?

2. Competitor Analysis

Dimension	Question	Active Inference Translation
Capabilities	What can they do?	What is their action space?
Intentions	What are they trying to achieve?	What is their generative model optimizing?
Assumptions	What do they believe about the market?	What are their priors?
Blind spots	What are they not seeing?	Where is their model incomplete?

Case Study — Netflix vs. Blockbuster: Blockbuster's model of the customer assumed that convenience of physical location and late fees were acceptable. Netflix built a different model: customers wanted convenience (mail delivery, then streaming) and resented punitive fees. Netflix didn't just compete on execution — it operated with a fundamentally different generative model of customer needs. Blockbuster's failure was a failure of stakeholder modeling.

3. Theory of Mind in Strategy

Strategic interaction requires recursive modeling: I model what you're likely to do, which depends on what you model I'm likely to do, which depends on what you model I model about you...

In practice: competitors model each other's strategies. The firm that builds a more accurate model of its competitor's model gains a strategic advantage.

4. Customer as Inference Agent

Under Active Inference, a customer is an agent who:

- Has a **generative model** of their needs and preferences
- **Senses** the marketplace (product features, prices, reviews)
- **Infers** which product best satisfies their model
- **Acts** (purchases, switches, advocates)

Marketing, then, is the process of aligning the firm's signals with the customer's generative model.

Cross-References

- For internal agents, see [Organizational Systems: Agents](#)
 - For collective agency, see [Collective Intelligence: Agents](#)
 - For AI agents, see [Digital Transformation: Agents](#)
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Summary

Concept	Strategic Modeling Meaning
Stakeholder modeling	Building generative models of other agents' beliefs and behavior
Competitor analysis	Inferring competitors' capabilities, intentions, assumptions, and blind spots
Theory of mind	Recursive modeling — modeling how others model you
Customer modeling	Understanding customers as inference agents with their own generative models
Game-theoretic reasoning	Strategic interaction under mutual uncertainty

References

- Porter, M. E. (1980). *Competitive Strategy*. Free Press.
- Christensen, C. M. (1997). *The Innovator's Dilemma*. Harvard Business Review Press.